Service Charge Budget

The Grange

Landlord:	**The Bank Of England**
Property address:	**Priory Road** **Roehampton** **London**
Service Charge Year:	**25/03/2024 - 24/03/2025**



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A NEWMARK COMPANY

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23 September 2024

Dear Tenants

Service Charge budget

Property: The Grange
For the year ending: 24 March 2025

We are appointed by your landlord as the managing agents for The Grange. As part of that instruction we are responsible for budgeting and administering the service charge for the property.

Please therefore find enclosed your budget in respect of the year ending 24 March 2025

Overview of the Budget:

	£			£	
Budget for the year	673,186				
Prior year budget	692,101		Prior year budget without elec	582,101	
Increase/(decrease)	(18,915)	-2.73%	**Increase/(decrease)**	91,085	15.65%

Please accept our apologies for the delay in sending out the budget for this year. However we have made considerable changes to the budget format including removing unnecessary schedules and separating out demised electricity as this does not need to be in the service charge budget. You will receive separate electricity charges based on consumption. We have been able to resolve issues with the gas and water also - AELTC now have control of their gas supply and it is independent of The Grange. Water charges are split between AELTC and The Grange, and only a percentage of the bill is for The Grange. The remainder is charged direct to AELTC based on consumption. Gas charges are now based on actual consumption and are for The Grange only. Unfortunately gas is now significantly more expensive and is the main reason for the increase (£60k increase).

We trust that this service charge budget report provides you with a clear understanding of Gerald Eve's approach to managing the services of your property.

However, following your review of the budget if you have any queries or require clarification on any points detailed herein please do not hesitate to contact me or one of the management team - details of which are included within the Management Team section of the report.

Yours sincerely

Ruchi Mayfield

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Our Policies

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Service Charge Management & Accounting Principles

Not for profit

The service charge accounts are managed for the benefit of all Tenants on a not-for-profit basis.

On account demands and reconciliation

At the year end, on-account income received and actual expenditure incurred are reconciled. Each Tenant's on-account contribution will be adjusted to reflect the due proportion of the actual expenditure incurred and balancing charges or credits are issued accordingly.

Apportionment

The service charge costs are apportioned in line with your lease. On-account service charges are demanded from all Tenants (and from the Landlord in relation to void units) throughout the year based on the budgeted expenditure.

Empty units and concessions granted to Tenants

Where appropriate, costs are apportioned on a daily basis and for the avoidance of doubt it is confirmed that the Landlord covers an appropriate proportion of the service charge expenditure in respect of vacant parts and any form of concessions agreed with tenants.

Where a tenant has a fixed charge contribution, the Landlord will be liable for the any shortfall related to the unit which is calculated on a daily basis for when the tenant was in occupation.

Banking

All service charge funds held by Gerald Eve are in a dedicated client account administered at property level.

Service procurement

Our internal approval process evaluates a service provider's operational potential, health & safety awareness, competence and compliancy, environmental policies and financial soundness.

VAT

The landlord has not elected to waive the exemption from VAT and therefore all service charge expenditure is shown inclusive of VAT where applicable

Core Principles

Our core principles in delivery of our contract management policy are:

- Adhere with the RICS Service Charge Code of Best Practice & Rules of Conduct
- Comply with all relevant health and safety ("H&S") legislation
- Commitment to an open and transparent procurement process designed to ensure that we obtain best value for money for our clients and their tenants/customers

Client : The Bank Of England.
Property : The Grange.

Service Charge Budget for the perio 25/03/24 - 24/03/25

Summary Service Charge Budget

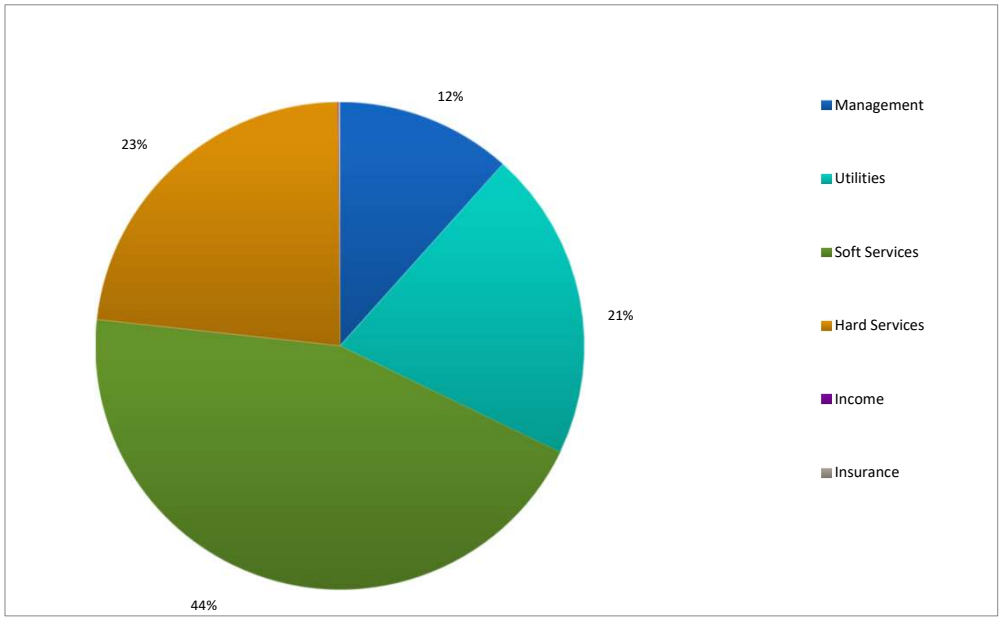
		24th March 2025					
		Schedule A	Schedule B	Schedule C	Schedule D	Total Expenditure	Percentage of
Category	Description	£ The Grange, common parts	£ AELTC Common Parts (Gross)	£ South Wing	£ Gas Charges (exc IFF)	£	Total Expenditure
1	Management	71,227	6,983	0	0	78,210	12%
2	Utilities	46,125	12,450	0	80,000	138,575	21%
3	Soft Services	146,708	151,380	2,000	0	300,088	45%
4	Hard Services	136,310	17,407	2,110	0	155,827	23%
5	Income	(120)	(144)	0	0	(264)	0%
6	Insurance	750	0	0	0	750	0%
		401,000	**188,076**	**4,110**	**80,000**	**673,186**	**100%**

Total Area **88,739 sq ft**
Total budgeted expenditure per sq ft **£7.59**

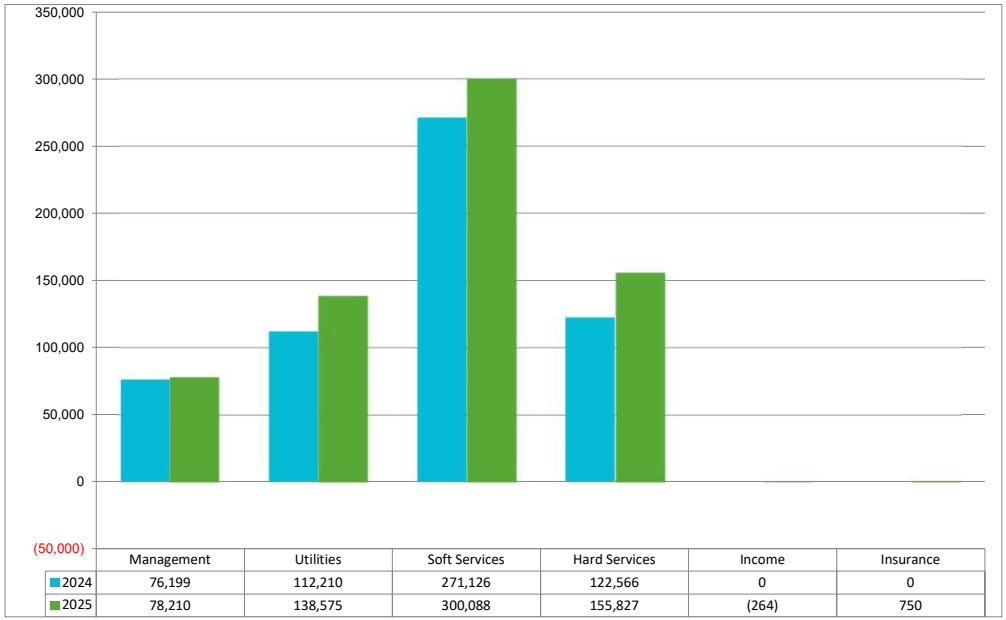
		24th March 2024					
		Schedule 1&2	Schedule 6	Schedule 3	Schedule 5	Total Expenditure	Percentage of
Category	Description	£ The Grange, common parts	£ AELTC Common Parts (Gross)	£ South Wing	£ Gas Charges (exc IFF)	£	Total Expenditure
1	Management	67,908	8,291	0	0	76,199	13%
2	Utilities	71,210	3,000	0	38,000	112,210	19%
3	Soft Services	146,818	122,520	1,788	0	271,126	47%
4	Hard Services	111,186	5,730	5,650	0	122,566	21%
5	Income	0	0	0	0	0	0%
6	Insurance	0	0	0	0	0	0%
		397,122	**139,541**	**7,438**	**38,000**	**582,101**	**100%**

Note this does not include the electric cost budgeted in YE 2024 as Sch 4 as electricity no longer included in YE25 budget £ 6.56

2024/25 Budget Breakdown per Cost Category



Prior Year Budget Comparison



Client : The Bank Of England.
Property : The Grange.

Detailed Budget Comparison - Schedule 1

Category		Expense Total Budget £ 25/03/24 - 24/03/25	Schedule A Total The Grange, common parts £	Schedule B Total AELTC Common Parts (Gross) £	Schedule C Total South Wing £	Schedule D Total Gas Charges (exc IFF) £	Comments
1	**MANAGEMENT**						
	Management fees	47,730	44,850	2,880	0	0	This is the management fee for administering the service charge budget and surveyors time in connection with the day-to-day management of the property. Split Sch 1: 92.5%, Sch 2: 7.5%
	Independent accountant's fees	3,638	2,600	1,038	0	0	This covers the fees for the formal audit of the year end service charge accounts.
	Facilities Manager	16,140	13,800	2,340	0	0	All salaries and ancillary costs associated with employment of onsite staff including directly employed staff, building managers and caretakers. This cost will be normally charged by Gerald Eve and will include all national insurance and other taxes, pension contributions, mobile phone costs and administrative/payroll costs.
	Site accommodation (Telephone & Stationery)	1,500	1,500	0	0	0	Cost of the telephone line to the lift on-site and BMS line.
	Helpdesk	550	250	300	0	0	Cost for the 24/7 helpdesk with Elogs
	Health, Safety and Environmental works	7,924	7,667	257	0	0	Schedule 1 : H&S audit inclusive of the car park and external areas £1071+VAT. Riskwise £452.00 + VAT, Fire safety management services £1193.00 per annum. Fire door audit £812.00. Lightning protection inspection and roof safety guarding £1570.00. Water risk assessment £943.00. closed water system inspection £1064.00. Asbestos reinspection Eaton Group £400+VAT fire hydrant maintenance £162 and remaining cost (£180 in schedule 2).
	Signage	728	560	168	0	0	Allowance in relation to signage requirement
		78,210	**71,227**	**6,983**	**0**	**0**	
2	**UTILITIES**						
	Electricity	32,000	20,000	12,000	0	0	Cost of electricity provision -Schedule 1 The Grange common parts. Schedule 2 Altec common parts ie 50% car park
	Electricity procurement/consultancy	825	375	450	0	0	Electricity consultancy fee/ recharges calculation
	Electricity CRC	0	0	0	0	0	
	Gas	100,000	20,000	0	0	80,000	Cost for gas provision to the site. Schedule 1 Grange common parts and schedule 4 on accounts sum to be recharged to relevant tenants.
	Gas procurement/consultancy	750	750	0	0	0	Gas consultancy fee/ recharges calculation
	Gas CRC	0	0	0	0	0	
	Fuel Oil	0	0	0	0	0	
	Water and sewerage charges	5,000	5,000	0	0	0	Cost for the water supply to solely The Grange. AELTC to be recharged direct for their usage (c95%)
		138,575	**46,125**	**12,450**	**0**	**80,000**	
3	**SOFT SERVICES**						
	Security guarding	211,060	86,500	124,560	0	0	Security contract to the estate consisting of 2 x guards on 12hr shifts. A contingency of £3,000.00 has been allowed for in relation to call outs and unforeseen security requirements
	Security systems	9,700	2,500	7,200	0	0	Maintenance of the Grange access control and provision to install automated security barrier
	Internal cleaning	25,000	23,000	0	2,000	0	Internal clean of the common parts at £20,120 per annum. Periodic cleaning to the toilets & carpets, £2,240.00. Cleaning to the rear staircase (south wing) £1,788.40
	External cleaning	3,300	1,500	1,800	0	0	Cost for an ad hoc external clean to the grounds
	Window cleaning	5,000	5,000	0	0	0	Provisional cost for external window cleaning
	Hygiene services/toiletries	4,858	4,858	0	0	0	Hygiene services contract via Endersham at £858.00 per annum. Budget sum of £4000.00 in relation to consumables
	Disposal / Waste management	8,000	8,000	0	0	0	Agreement with BPS t/a Paper round - 4 general waste bins and 3 mixed recycling, bins are collected twice a week (collected 2 of each)
	Pest Control	2,700	1,500	1,200	0	0	Annual Pest control contract in relation to the building and exterior area
	External landscaping	8,470	3,850	4,620	0	0	Cost in relation to the landscaping contract to the exterior of the property
	Drainage	22,000	10,000	12,000	0	0	CCTV survey and jetting of the drainage system to the estate. An allowance has been included for any unforeseen repairs
		300,088	**146,708**	**151,380**	**2,000**	**0**	
4	**HARD SERVICES**						
	M&E maintenance contract	31,367	28,000	3,367	0	0	Annual M&E Maintenance contract in relation to The Grange building £29,806 Under schedule 2 included cost for maintenance of external lighting. Elogs cost £1000 shared between both schedules 1 and 2
	M&E Repairs	22,000	22,000	0	0	0	Allowance for any M&E repairs
	Lift maintenance contract	2,800	1,400	0	1,400	0	Cost in relation to the maintenance and servicing of the central core and south wing lift.
	Lift repairs	2,500	2,500	0	0	0	Cost for any unforeseen lift repairs.
	Lift inspections and consultancy	1,420	710	0	710	0	Cost for lift consultancy with LCG
	Internal repairs and maintenance	40,000	40,000	0	0	0	Internal repairs allowance including fire door remedial works of £40k
	External repairs and maintenance	52,000	40,000	12,000	0	0	External repair provision - to include the external fabric of the Grange and repairs to the car park
	Car park repairs and maintenance	3,740	1,700	2,040	0	0	Cost for site gritting, pedestrian clearance and mechanical snow clearance
		155,827	**136,310**	**17,407**	**2,110**	**0**	
5	**INCOME**						
	Interest	0	0	0	0	0	
	Income from commercialisation	0	0	0	0	0	
	Car park income	(264)	(120)	(144)	0	0	Income from the EV charging points
	Vending Machine Income	0	0	0	0	0	
	Other income	0	0	0	0	0	
	Car park expenses	0	0	0	0	0	
	Vending machine expenses	0	0	0	0	0	
	Other expenses	0	0	0	0	0	
		(264)	**(120)**	**(144)**	**0**	**0**	
6	**INSURANCE**						
	Engineering Insurance	750	750	0	0	0	Cover provided by BoE
	All risks insurance cover	0	0	0	0	0	
	Other Insurance	0	0	0	0	0	
	Terrorism insurance	0	0	0	0	0	
		750	**750**	**0**	**0**	**0**	
7	**EXCEPTIONAL EXPENDITURE**						
		0	**0**	**0**	**0**	**0**	
		673,186	**401,000**	**188,076**	**4,110**	**80,000**	

Client:	The Bank Of England
Property:	The Grange
Service Charge Report for the period	25/03/24 - 24/03/25

Management Team

Angela Duru
Partner

Angela is responsible for the performance and co-ordination of the day to day surveyor work on general property management matters, including service charge, insurance and leasing matters.

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Gareth Williams
Partner

Gareth is responsible for the overall financial performance and co-ordination of the day to day matters on this engagement.

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Senior Associate

Ruchi is responsible for performing work on general property management matters, including service charge, insurance and leasing.

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Jade Malyon

Client Accountant

Jade is responsible for general accounting matters, in particular rent, insurance and administering the service charge.

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Jolanta Wisniewska

Regional Facilities Manager

Jola has day to day responsibility for building facility maintenance and ensuring compliance with Health and Safety regulations

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Rob Hickey

Credit Controller

Rob is responsible credit control and the collection of all rent, service charge and adhoc charge arrears

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24 Hour Help Desk

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Service Charge Apportionments

GERALDEVE
A NEWMARK COMPANY

Property Name:	**The Grange**
Property Address:	**Priory Road**
Property Reference:	**grange**
Total Floor Area (Sq.Ft.):	**88,739**
VAT elected:	**Yes, All Expenditure is shown Net other than Sch B**

Apportionments

Wing	Unit	Tenant	Floor Area	Schedule A The Grange, common parts %	Schedule B AELTC Common Parts (Gross) %	Schedule C South Wing %	Schedule D Gas Charges (exc IFF) %	Schedule A The Grange, common parts £	Schedule B AELTC Common Parts (Gross) £	Schedule C South Wing £	Schedule D Gas Charges (exc IFF) £	Total p.a £	Total p/qtr £
South	Basement	Vacant	429	0.96%	0.00%	2.06%	1.17%	£3,859.66	£ -	£84.76	£935.48	£ 4,879.91	£ 1,219.98
South	Grnd, Office & Studio	Vacant	3686	**8.27%**	**0.00%**	**17.72%**	**10.05%**	**£ 33,162.50**	**£ -**	**£ 728.30**	**£ 8,037.72**	£ 41,928.53	£ 10,482.13
South	Grnd, Storage	Vacant	1189	2.67%	0.00%	5.72%	3.24%	£ 10,697.29	£ -	£ 234.93	£ 2,592.74	£ 13,524.97	£ 3,381.24
South	1st & 2nd floor	International Flavours and Fragrance (IFF) Ltd	7884	**17.69%**	**0.00%**	**37.90%**	**0.00%**	**£ 70,931.41**	**£ -**	**£ 1,557.77**	**£ -**	£ 72,489.19	£ 18,122.30
South	3rd floor	Vacant / ITF UK Ltd (from 13/9/24)	4107	9.21%	0.00%	19.74%	11.19%	£ 36,950.19	£ -	£ 811.49	£ 8,955.76	£ 46,717.44	£ 11,679.36
South	4th floor	Vacant	3506	**7.87%**	**0.00%**	**16.85%**	**9.56%**	**£ 31,543.07**	**£ -**	**£ 692.74**	**£ 7,645.21**	£ 39,881.02	£ 9,970.25
North	Ground floor - 4th floor	ITF UK Ltd	23,770	53.33%	0.00%	0.00%	64.79%	£ 213,855.87	£ -	£ -	£ 51,833.07	£ 265,688.94	£ 66,422.24
		ITF cap applies. Cap plus gas										£ 239,142.86	£ 59,785.71
Other	Sports Ground, Pavillion & Sports Centre, Squash courts, Sheds	All England Lawn Tennis Ground Plc*	44,168	**0.00%**	**100.00%**	**0.00%**	**0.00%**	**£ -**	**£ 188,076.00**	**£ -**	**£ -**	£ 188,076.00	£ 47,019.00
			88,739	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**£401,000.00**	**£188,076.00**	**£4,110.00**	**£80,000.00**	**£ 673,186.00**	**£168,296.50**